



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 4034: CTEDs; ADM; apportionment; responsibilities

GRESS FLOOR AMENDMENT

Expenditure Reporting and Requirements

1. Requires, rather than allows, a career technical education district (CTED) board to monitor how monies distributed by the CTED are used.
2. Removes the authorization for a CTED board to review and audit each participating school district's and charter school's use of monies that are distributed by the CTED as prescribed.
3. Replaces the requirement for a school district or charter school that receives CTED monies submit to the CTED board financial records, documentation or information requested by the CTED board with the requirement that the CTED board maintain any financial records, documentation or information
4. Requires a CTED board to submit to each school district an annual report relating to CTED expenditures as specified.
5. Directs a CTED board, on request from a participating school district, to provide additional expenditure information and details.

Capital Plan Requirements

6. Prohibits a school district that is part of a CTED from carrying forward more than 25% of any CTED monies for any career technical education (CTE) purpose, as determined by the school district.
7. Allows a school district to apply to the CTED board to use more than 25% of any monies received from a CTED by submitting a capital plan to the CTED board with the application.
8. Details requirements that must be met for a school district to spend more than 25% of the monies that it receives from a CTED in any fiscal year.

Intergovernmental Agreement (IGA) or Written Contract Requirements

9. Specifies the IGA or other written contract must be executed by July 1 of the first year in which a satellite campus CTE course or program will be offered.
10. Deletes the requirement that the IGA or other written contract specify how the costs of delivering a CTE program or course must be calculated.

11. Specifies circumstances in which a school district or charter school may use funding generated by CTE programs or courses if average daily membership is insufficient to pay for the costs of delivering of other CTE program or course.
12. Details mediation requirements that must be included in an IGA or other written contract.

Satellite Campus CTE Program or Course Approval

13. Instructs the CTE Division of the Arizona Department of Education (Division), if the Division determines a CTE satellite campus course does not meet the criteria for approval, to provide to the CTED board a written determination that includes the reasons for the Division's determination.
14. Requires the CTED board and Division to determine whether to approve each request to add satellite campus CTE programs or courses within _____ days after receiving the request.
15. Stipulates that if the CTED board does approve a request to add satellite campus CTE programs or courses, the CTED board must provide to the member school district or charter school a written determination that includes the reasons for the CTED board's determination.
16. Allows a participating school district or charter school to amend a request that is not approved to address the reasons for the disapproval.
17. Requires the CTED board to consider an amended request that is submitted in the same manner as an initial request.

GRESS FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 4034
(Reference to EDUCATION Committee amendment)

Amendment instruction key:

[GREEN UPPERCASE UNDERLINING IN BRACKETS] indicates that the amendment is adding text to statute or previously enacted session law.
[Green lowercase underlining in brackets] indicates that the amendment is adding text to new session law or is restoring previously stricken text to existing statute.
~~[GREEN UPPERCASE STRIKEOUT IN BRACKETS]~~ indicates that the amendment is removing new text from statute or previously enacted session law.
~~[Green lowercase strikeout in brackets]~~ indicates that the amendment is removing text from existing statute, previously enacted session law or new session law.
<<Double green carets enclosing an entire section>> indicates that the amendment is adding the section to the bill.
~~<<Green strikeout with double green carets enclosing an entire section>>~~ indicates that the amendment is removing the section to the bill.
{[ORANGE UPPERCASE UNDERLINING IN DOUBLE CURLY BRACKETS]} indicates that the amendment to an amendment is adding text to statute or previously enacted session law.
{[Orange lowercase underlining in double curly brackets]} indicates that the amendment to an amendment is adding text to new session law or is restoring previously stricken text to existing statute.
~~{[ORANGE UPPERCASE STRIKEOUT IN DOUBLE CURLY BRACKETS]}~~ indicates that the amendment to an amendment is removing new text from statute or previously enacted session law.
~~{[Orange lowercase strikeout in double curly brackets]}~~ indicates that the amendment to an amendment is removing text from existing statute, previously enacted session law or new session law.
<<Double orange underlined carets enclosing an entire section>> indicate that the amendment to an amendment is adding the section to the bill.
~~<<Orange strikeout with double orange underlined carets enclosing an entire section>>~~ indicates that the amendment to an amendment is removing the section from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 15-393, Arizona Revised Statutes, is amended to
3 read:

4 15-393. Career technical education boards: report:
5 definitions

6 A. The management and control of a career technical education
7 district are vested in the career technical education [district governing]
8 board, including the content and quality of the courses offered by the
9 district, the quality of teachers who provide instruction on behalf of the
10 district, the salaries of teachers who provide instruction on behalf of
11 the district, THE FUNDING FOR THE DISTRICT'S AVERAGE DAILY MEMBERSHIP and
12 the reimbursement of other entities for the facilities used by the
13 district. This section does not restrict a school district from offering
14 any career and technical education course that does not qualify for
15 funding as a career technical education course or career technical
16 education district program. Unless the governing boards of the school

1 districts participating in the formation of the career technical education
2 district vote to implement an alternative election system as provided in
3 subsection B of this section, the career technical education board
4 consists of five members elected from five single member districts formed
5 within the career technical education district. The single member
6 district election system shall be submitted as part of the plan for the
7 career technical education district pursuant to section 15-392 and shall
8 be established in the plan as follows:

9 1. The governing boards of the school districts participating in
10 the formation of the career technical education district shall define the
11 boundaries of the single member districts so that the single member
12 districts are as nearly equal in population as is practicable, except that
13 if the career technical education district lies in part in each of two or
14 more counties, at least one single member district may be entirely within
15 each of the counties comprising the career technical education district if
16 this district design is consistent with the obligation to equalize the
17 population among single member districts.

18 2. The boundaries of each single member district shall follow
19 election precinct boundary lines, as far as practicable, in order to avoid
20 further segmentation of the precincts.

21 3. A person who is a registered voter of this state and who has
22 been a resident of the single member district for at least one year
23 immediately preceding the date of the election is eligible for election to
24 the office of career technical education board member from the single
25 member district. The terms of office of the members of the career
26 technical education board shall be as prescribed in section 15-427,
27 subsection B. An employee of a career technical education district or the
28 spouse of an employee shall not hold membership on a governing board of a
29 career technical education district by which the employee is employed. A
30 member of one school district governing board or career technical
31 education [district governing] board is ineligible to be a candidate for
32 nomination or election to or serve simultaneously as a member of any other
33 governing board, except that a member of a governing board may be a
34 candidate for nomination or election for any other governing board if the
35 member is serving in the last year of a term of office. A member of a
36 governing board shall resign the member's seat on the governing board
37 before becoming a candidate for nomination or election to the governing
38 board of any other school district or career technical education district,
39 unless the member of the governing board is serving in the last year of a
40 term of office. Members of a career technical education [district
41 governing] board are subject to the conflict of interest requirements
42 prescribed in section 38-503.

43 4. Nominating petitions shall be signed by the number of qualified
44 electors of the single member district as provided in section 16-322.

45 B. The governing boards of the school districts participating in
46 the formation of the career technical education district may vote to
47 implement any other alternative election system for the election of career
48 technical education [district] board members. If an alternative election
49 system is selected, it shall be submitted as part of the plan for the

1 career technical education district pursuant to section 15-392, and the
2 implementation of the system shall be as approved by the United States
3 justice department.

4 C. Career technical education districts are subject to the
5 following provisions of this title:

- 6 1. Chapter 1, articles 1, 2, 3, 4, 5 and 6.
- 7 2. Sections 15-208, 15-210, 15-213 and 15-234.
- 8 3. Articles 2, 3 and 5 of this chapter.
- 9 4. Section 15-361.
- 10 5. Chapter 4, articles 1, 2 and 5.
- 11 6. Chapter 5, articles 1 and 3.
- 12 7. Sections 15-701.01, 15-722, 15-723, 15-724, 15-727, 15-728,
13 15-729 and 15-730.
- 14 8. Chapter 7, article 5.
- 15 9. Chapter 8, articles 1, 3 and 4.
- 16 10. Sections 15-828 and 15-829.
- 17 11. Chapter 9, article 1, article 6, except for section 15-995, and
18 article 7.
- 19 12. Sections 15-941, 15-943.01, 15-953 and 15-973.
- 20 13. Sections 15-1101 and 15-1104.
- 21 14. Chapter 10, articles 2, 3, 4 and 8.

22 D. Notwithstanding subsection C of this section, the following
23 apply to a career technical education district:

24 1. A career technical education district may issue bonds for the
25 purposes specified in section 15-1021 and in chapter 4, article 5 of this
26 title to an amount in the aggregate, including the existing indebtedness,
27 not exceeding one percent of the net assessed value of the full cash value
28 of the property within the career technical education district. For the
29 purposes of this paragraph, "full cash value" and "net assessed value"
30 have the same meanings prescribed in section 42-11001.

31 2. The number of governing board members for a career technical
32 education district shall be as prescribed in subsection A of this section.

33 3. The student count for the first year of operation of a career
34 technical education district as provided in this article shall be
35 determined as follows:

36 (a) Determine the estimated student count for career technical
37 education district classes that will operate in the first year of
38 operation. This estimate shall be based on actual registration of pupils
39 as of March 30 scheduled to attend classes that will be operated by the
40 career technical education district. The student count for the school
41 district of residence of the pupils registered at the career technical
42 education district shall be adjusted. The adjustment shall cause the
43 school district of residence to reduce the student count for the pupil to
44 reflect the courses to be taken at the career technical education
45 district. The school district of residence shall review and approve the
46 adjustment of its own student count as provided in this subdivision before
47 the pupils from the school district can be added to the student count of
48 the career technical education district.

1 (b) The student count for the new career technical education
2 district shall be the student count as determined in subdivision (a) of
3 this paragraph.

4 (c) For the first year of operation, the career technical education
5 district shall revise the student count to the actual average daily
6 membership as prescribed in section 15-901, subsection A, paragraph 1 for
7 students attending classes in the career technical education district. A
8 career technical education district shall revise its student count, the
9 base support level as provided in section 15-943.02, the revenue control
10 limit as provided in section 15-944.01 and the district additional
11 assistance as provided in section 15-962.01 before May 15. A career
12 technical education district that overestimated its student count shall
13 revise its budget before May 15. A career technical education district
14 that underestimated its student count may revise its budget before May 15.

15 (d) After March 15 of the first year of operation, the school
16 district of residence shall adjust its student count by reducing it to
17 reflect the courses actually taken at the career technical education
18 district. The school district of residence shall revise its student
19 count, the base support level as provided in section 15-943, the revenue
20 control limit as provided in section 15-944 and the district additional
21 assistance as provided in section 15-962.01 prior to May 15. A district
22 that underestimated the student count for students attending the career
23 technical education district shall revise its budget before May 15. A
24 district that overestimated the student count for students attending the
25 career technical education district may revise its budget before May 15.

26 (e) The procedures for implementing this paragraph shall be as
27 prescribed in the uniform system of financial records.

28 For the purposes of this paragraph, "school district of residence" means
29 the school district that included the pupil in its average daily
30 membership for the year before the first year of operation of the career
31 technical education district and that would have included the pupil in its
32 student count for the purposes of computing its base support level for the
33 fiscal year of the first year of operation of the career technical
34 education district if the pupil had not enrolled in the career technical
35 education district.

36 4. A student includes any person enrolled in the career technical
37 education district without regard to the person's age or high school
38 graduation status, except that:

39 (a) A student in a kindergarten program or in any of grades one
40 through eight who enrolls in courses offered by the career technical
41 education district shall not be included in the career technical education
42 district's student count or average daily membership.

43 (b) A student in a kindergarten program or in any of grades one
44 through eight who is enrolled in career and technical education courses
45 shall not be funded in whole or in part with monies provided by a career
46 technical education district, except that a pupil in grade eight may be
47 funded with monies generated by the \$.05 qualifying tax rate authorized in
48 subsection F of this section.

1 (c) A student who has graduated from high school or received a
2 general equivalency diploma or who is over twenty-one years of age shall
3 not be included in the student count of the career technical education
4 district for the purposes of chapter 9, articles 3, 4 and 5 of this title.

5 5. A career technical education district may operate for more than
6 one hundred eighty days per year, or less, with the equivalent number of
7 hours of instruction.

8 6. A career technical education district may use the carryforward
9 provisions of section 15-943.01.

10 7. A school district that is part of a career technical education
11 district shall use any monies received pursuant to this article to
12 supplement and not supplant base year career and technical education
13 courses, and directly related equipment and facilities, except that a
14 school district that is part of a career technical education district and
15 that has used monies received pursuant to this article to supplant career
16 and technical education courses that were offered before the first year
17 that the school district participated in the career technical education
18 district or the first year that the school district used monies received
19 pursuant to this article or that used the monies for purposes other than
20 for career and technical education courses shall use one hundred percent
21 of the monies received pursuant to this article to supplement and not
22 supplant base year career and technical education courses. Each
23 applicable school district shall provide a report to the career technical
24 education board and the department of education outlining the required
25 maintenance of effort and how monies were used to supplement and not
26 supplant base year career and technical education courses and directly
27 related equipment and facilities. ~~THE CAREER TECHNICAL EDUCATION BOARD~~
28 ~~{{MAY}} {{SHALL}} MONITOR{{[, REVIEW AND AUDIT EACH PARTICIPATING SCHOOL~~
29 ~~DISTRICT'S AND EACH CHARTER SCHOOL'S USE OF}} {{HOW}} MONIES THAT ARE~~
30 ~~DISTRIBUTED BY THE CAREER TECHNICAL EDUCATION DISTRICT PURSUANT TO THIS~~
31 ~~ARTICLE {{TO ENSURE THAT THE SCHOOL DISTRICT OR CHARTER SCHOOL USES THE~~
32 ~~MONIES TO SUPPLEMENT AND NOT SUPPLANT FEDERAL, STATE OR LOCAL FUNDING FOR~~
33 ~~CAREER AND TECHNICAL EDUCATION}} {{ARE USED}}. {{EACH SCHOOL DISTRICT AND~~
34 ~~CHARTER SCHOOL THAT RECEIVES MONIES PURSUANT TO THIS ARTICLE SHALL SUBMIT~~
35 ~~TO}} THE CAREER TECHNICAL EDUCATION BOARD {{SHALL MAINTAIN}} ANY FINANCIAL~~
36 ~~RECORDS, DOCUMENTATION OR INFORMATION {{REQUESTED BY THE [CAREER TECHNICAL~~
37 ~~EDUCATION] BOARD}} THAT IS REASONABLY NECESSARY FOR THE {{OVERSIGHT~~
38 ~~AUTHORIZED BY}} {{PURPOSES OF}} THIS PARAGRAPH. [THE CAREER TECHNICAL~~
39 ~~EDUCATION BOARD SHALL SUBMIT TO EACH {{PARTICIPATING}} SCHOOL DISTRICT~~
40 ~~{{THAT IS PART OF THE CAREER TECHNICAL EDUCATION DISTRICT A QUARTERLY}}~~
41 ~~{{AN ANNUAL}} REPORT THAT INCLUDES THE AGGREGATE CAREER TECHNICAL~~
42 ~~EDUCATION DISTRICT EXPENDITURES AND THE CAREER TECHNICAL EDUCATION~~
43 ~~DISTRICT EXPENDITURES {{FOR THE BENEFIT OF}} {{THAT DIRECTLY SUPPORT~~
44 ~~CAREER TECHNICAL EDUCATION COURSES OR PROGRAMS THAT ARE PROVIDED AT}} EACH~~
45 ~~PARTICIPATING SCHOOL DISTRICT.] {{ON REQUEST FROM A PARTICIPATING SCHOOL~~
46 ~~DISTRICT, THE CAREER TECHNICAL EDUCATION BOARD SHALL PROVIDE ADDITIONAL~~
47 ~~INFORMATION AND DETAILS ABOUT THE EXPENDITURES.}}~~

1 8. A career technical education district shall use any monies
2 received pursuant to this article to enhance and not supplant career and
3 technical education courses and directly related equipment and facilities.

4 9. A career technical education district or a school district that
5 is part of a career technical education district or a charter school shall
6 only include pupils in grades nine through twelve and pupils in the school
7 year immediately following graduation in the calculation of student count
8 or average daily membership if the pupils are enrolled in courses that are
9 approved jointly by the governing board of the career technical education
10 district and each participating school district or charter school for
11 satellite courses taught within the participating school district or
12 charter school, or approved solely by the career technical education
13 district for centrally located courses. Funding may be provided for not
14 more than four years for the same student. Student count and average
15 daily membership from courses that are not part of an approved program for
16 career and technical education shall not be included in student count and
17 average daily membership of a career technical education district.

18 10. A career technical education district may build, maintain and
19 provide housing facilities and support services for students who are in
20 foster care or who meet the definition of unaccompanied youth as defined
21 in the McKinney-Vento homeless assistance act (P.L. 100-77; 101 Stat. 482;
22 42 United States Code section 11434a).

23 {{11. NOTWITHSTANDING PARAGRAPH 7 OF THIS SUBSECTION, A SCHOOL
24 DISTRICT THAT IS PART OF A CAREER TECHNICAL EDUCATION DISTRICT MAY CARRY
25 FORWARD NOT MORE THAN TWENTY-FIVE PERCENT OF ANY MONIES RECEIVED PURSUANT
26 TO THIS ARTICLE FOR ANY PURPOSE RELATED TO CAREER TECHNICAL EDUCATION, AS
27 DETERMINED BY THE SCHOOL DISTRICT. A SCHOOL DISTRICT MAY APPLY TO THE
28 CAREER TECHNICAL EDUCATION BOARD TO USE MORE THAN TWENTY-FIVE PERCENT OF
29 ANY MONIES RECEIVED PURSUANT TO THIS ARTICLE BY SUBMITTING A CAPITAL PLAN
30 TO THE CAREER TECHNICAL EDUCATION BOARD WITH THE APPLICATION. THE SCHOOL
31 DISTRICT MAY SPEND MORE THAN TWENTY-FIVE PERCENT OF THE MONIES THAT THE
32 SCHOOL DISTRICT RECEIVES PURSUANT TO THIS ARTICLE IN ANY FISCAL YEAR ONLY
33 IF BOTH OF THE FOLLOWING REQUIREMENTS ARE MET:

34 (a) THE CAREER TECHNICAL EDUCATION BOARD APPROVES THE SCHOOL
35 DISTRICT'S CAPITAL PLAN BEFORE THE EXCESS EXPENDITURES OCCUR.

36 (b) ALL EXCESS EXPENDITURES ARE PURSUANT TO THE CAPITAL PLAN.}}

37 E. The career technical education board shall appoint a
38 superintendent as the executive officer of the career technical education
39 district.

40 F. Taxes may be levied for the support of the career technical
41 education district as prescribed in chapter 9, article 6 of this title,
42 except that a career technical education district shall not levy a
43 property tax pursuant to law that exceeds \$.05 per \$100 assessed valuation
44 except for bond monies pursuant to subsection D, paragraph 1 of this
45 section. Such taxes shall be obtained from a levy of taxes on the taxable
46 property used for secondary tax purposes.

47 G. The schools in the career technical education district are
48 available to all persons who reside in the career technical education
49 district and to pupils whose school district of residence within this

1 state is paying tuition on behalf of the pupils to a district of
2 attendance that is a member of the career technical education district,
3 subject to the rules for admission prescribed by the career technical
4 education board.

5 H. The career technical education board may collect tuition for
6 adult students and the attendance of pupils who are residents of school
7 districts that are not participating in the career technical education
8 district pursuant to arrangements made between the governing board of the
9 school district and the career technical education board.

10 I. The career technical education board may accept gifts, grants,
11 federal monies, tuition and other allocations of monies to erect, repair
12 and equip buildings and for the cost of operating the schools of the
13 career technical education district.

14 J. One member of the career technical education board shall be
15 selected chairperson. The chairperson shall be selected annually on a
16 rotation basis from among the participating school districts. The
17 chairperson of the career technical education board shall be a voting
18 member.

19 K. A career technical education board may enter into agreements to
20 provide for administrative, operational and educational services and
21 facilities with either:

22 1. A community college district.

23 2. A university under the jurisdiction of the Arizona board of
24 regents only if the community college district, if any, for each county in
25 which the career technical education district is located is not able to
26 offer the course or program in the next school year. For the purposes of
27 this paragraph, a community college district is not able to offer a course
28 or program if both of the following apply:

29 (a) On or before November 1 of each year, the career technical
30 education board notifies the president or chancellor of the community
31 college district in writing that the career technical education district
32 seeks to offer one or more courses or programs, or both, that are BOTH:

33 (i) Not offered through an existing agreement between the career
34 technical education board and the community college district.

35 (ii) ~~Are~~ Available through a university under the jurisdiction of
36 the Arizona board of regents.

37 (b) The president or chancellor of the community college district
38 either:

39 (i) Not later than thirty days after the president or chancellor
40 receives the notice pursuant to subdivision (a) of this paragraph,
41 notifies the superintendent of the career technical education district in
42 writing that no community college district is able to offer the course or
43 program in the next school year.

44 (ii) Fails to respond to the superintendent of the career technical
45 education district within thirty days after the president or chancellor of
46 the community college district receives the notice pursuant to subdivision
47 (a) of this paragraph.

48 L. Any agreement between ~~{{the governing board of}}~~ a career
49 technical education ~~{{district}}~~ {{BOARD}} and another career technical

1 education ~~{{district}}~~ ~~{{BOARD}}~~, a school district, a charter school, a
 2 university or a community college district shall be in the form of an
 3 intergovernmental agreement or other written contract [THAT IS EXECUTED ON
 4 OR BEFORE JULY 1 OF THE FIRST YEAR IN WHICH ~~{{A CAREER TECHNICAL EDUCATION~~
 5 COURSE OR PROGRAM WILL BE OFFERED AT A SATELLITE CAMPUS PURSUANT TO}} THE
 6 AGREEMENT OR CONTRACT ~~{{IS EFFECTIVE}}~~. The auditor general shall modify
 7 the uniform system of financial records and budget forms in accordance
 8 with this subsection. The intergovernmental agreement or other written
 9 contract shall completely and accurately specify each of the following:

10 1. The financial provisions of the intergovernmental agreement or
 11 other written contract and the format for the billing of all services.

12 2. The accountability provisions of the intergovernmental agreement
 13 or other written contract.

14 3. The responsibilities of each career technical education
 15 district, each school district, each charter school, each university and
 16 each community college district that is a party to the intergovernmental
 17 agreement or other written contract.

18 4. The type of instruction that will be provided under the
 19 intergovernmental agreement or other written contract, including
 20 individualized education programs pursuant to section 15-763.

21 5. The quality of ~~[the instruction, AS DETERMINED BY THE CAREER~~
 22 ~~TECHNICAL EDUCATION DISTRICT GOVERNING BOARD,]~~ [EACH INSTRUCTOR, INCLUDING
 23 THE MINIMUM QUALIFICATIONS, RELEVANT INDUSTRY EXPERIENCE AND
 24 INDUSTRY-RELEVANT PROFESSIONAL DEVELOPMENT,] that will be provided under
 25 the intergovernmental agreement or other written contract. [THE SCHOOL
 26 DISTRICT, THE CHARTER SCHOOL, THE UNIVERSITY OR THE COMMUNITY COLLEGE
 27 DISTRICT SHALL OVERSEE THE EVALUATION OF THE INSTRUCTOR UNLESS THE
 28 INTERGOVERNMENTAL AGREEMENT OR WRITTEN CONTRACT PROVIDES OTHERWISE.]

29 6. The transportation services that will be provided under the
 30 intergovernmental agreement or other written contract and the manner in
 31 which transportation costs will be paid.

32 7. The amount that the career technical education district will
 33 contribute to a course and the amount of support required by the school
 34 district, the charter school, the university or the community college.

35 ~~{{8. That[,] [the services provided by] [IF THE AVERAGE DAILY~~
 36 ~~MEMBERSHIP GENERATED BY A PROGRAM OR COURSE IS INSUFFICIENT TO PAY FOR THE~~
 37 ~~COSTS OF DELIVERING THE PROGRAM OR COURSE,]~~ the career technical education
 38 district, the school district, the charter school, the university or the
 39 community college district ~~[be proportionally calculated in the cost of~~
 40 ~~delivering the service]~~ [SHALL PAY A PROPORTIONAL SHARE OF THE COST OF
 41 DELIVERY, AS CALCULATED BY THE CAREER TECHNICAL EDUCATION DISTRICT
 42 GOVERNING BOARD].}}

43 ~~{{9.}}~~ ~~{{8.}}~~ That the payment for services shall not exceed the
 44 cost of the services provided. [IF THE AVERAGE DAILY MEMBERSHIP THAT IS
 45 GENERATED BY A ~~{{SATELLITE}}~~ PROGRAM OR COURSE IS INSUFFICIENT TO PAY FOR
 46 THE COSTS OF DELIVERING THE PROGRAM OR COURSE ~~{{AT THE SCHOOL DISTRICT OR~~
 47 CHARTER SCHOOL}} THE PARTICIPATING SCHOOL DISTRICT ~~{{OR CHARTER SCHOOL}}~~
 48 MAY USE FUNDING THAT IS GENERATED BY OTHER ~~{{CAREER TECHNICAL EDUCATION}}~~
 49 PROGRAMS OR COURSES AND THAT EXCEEDS THE COSTS OF DELIVERING THE OTHER

1 ~~{{CAREER TECHNICAL EDUCATION}}~~ PROGRAMS OR COURSES TO PAY FOR THE
2 SHORTFALL.]

3 ~~{{10.}}~~ ~~{{9.}}~~ That the career technical education district will
4 provide the following minimum services for all member districts:

5 (a) Professional development of career and technical teachers in
6 the career technical education district who are teaching programs or
7 courses at a satellite campus.

8 (b) Ongoing evaluation and support of satellite campus programs and
9 courses to ensure quality and compliance.

10 ~~{{11.}}~~ ~~{{10.}}~~ An itemized listing of other goods and services
11 that are provided to the member district and that are paid for by the
12 retention of satellite campus student funding.

13 ~~[[12.]]~~ ~~[[11.]]~~ THAT ANY PARTY TO THE INTERGOVERNMENTAL AGREEMENT
14 OR WRITTEN CONTRACT MAY ~~{{FILE A COMPLAINT WITH THE STATE BOARD OF~~
15 ~~VOCATIONAL EDUCATION UNDER RULES ADOPTED BY THE STATE BOARD OF EDUCATION~~
16 ~~ACTING AS THE STATE BOARD OF VOCATIONAL EDUCATION REGARDING A DISPUTE~~
17 ~~ARISING FROM THE INTERGOVERNMENTAL AGREEMENT OR WRITTEN CONTRACT. THE~~
18 ~~STATE BOARD OF EDUCATION SHALL RESOLVE ANY COMPLAINT THAT IS SUBMITTED~~
19 ~~PURSUANT TO THIS PARAGRAPH NOT LATER THAN THIRTY DAYS AFTER IT RECEIVES~~
20 ~~THE COMPLAINT AND ANY REQUIRED DOCUMENTATION}}~~ ~~{{BRING AN ACTION AGAINST~~
21 ~~ANOTHER PARTY UNDER THE AGREEMENT OR CONTRACT ONLY AFTER PARTICIPATING IN~~
22 ~~GOOD FAITH IN MEDIATION THAT IS ADMINISTERED BY A TRAINED AND IMPARTIAL~~
23 ~~MEDIATOR. EACH PARTY IS RESPONSIBLE FOR PAYING ANY COSTS INCURRED BY THE~~
24 ~~PARTY FOR THE MEDIATION, INCLUDING COSTS INCURRED FOR LEGAL~~
25 ~~REPRESENTATION, AND THE PARTY'S PRO RATA SHARE OF THE MEDIATION FEES}}].~~

26 ~~{{13.}}~~ ~~{{12.}}~~ THAT IF A CAREER TECHNICAL EDUCATION DISTRICT AND
27 A SCHOOL DISTRICT DO NOT AGREE TO A SPECIFIED APPORTIONMENT ON OR BEFORE
28 JULY 1, THE STATE BOARD OF EDUCATION ACTING AS THE STATE BOARD OF
29 VOCATIONAL EDUCATION SHALL MEDIATE THE DISPUTE AND DETERMINE THE
30 APPORTIONMENT FOR THE SCHOOL YEAR NOT LATER THAN AUGUST 1.]

31 M. A member school district or charter school may not submit
32 requests to approve or add satellite campus career technical education
33 district programs or courses directly to the career and technical
34 education division of the department of education but shall submit all
35 appropriate application documentation and materials for programs or
36 courses to the career technical education district. On approval from the
37 career technical education board, a career technical education district
38 shall only submit requests to approve or add satellite campus career
39 technical education district programs or courses directly to the career
40 and technical education division of the department of education, which
41 shall determine whether the criteria prescribed in section 15-391,
42 paragraphs 2 and 4 have been met. If the career and technical education
43 division of the department of education determines that a course does not
44 meet the criteria for approval as a career technical education course,
45 ~~{{the governing board of}}~~ ~~{{THE DIVISION SHALL PROVIDE TO}}~~ the career
46 technical education ~~{{district}}~~ ~~{{BOARD A WRITTEN DETERMINATION THAT~~
47 ~~INCLUDES THE REASONS FOR THE DIVISION'S DETERMINATION, AND THE CAREER~~
48 ~~TECHNICAL EDUCATION BOARD}}~~ may appeal ~~{{this decision}}~~ ~~{{THE~~
49 ~~DETERMINATION}}~~ to the state board of education acting as the state board

1 of vocational education. [THE CAREER TECHNICAL EDUCATION BOARD AND THE
2 CAREER AND TECHNICAL EDUCATION DIVISION OF THE DEPARTMENT OF EDUCATION
3 SHALL ACCEPT AND CONSIDER REQUESTS PURSUANT TO THIS SUBSECTION FROM JULY 1
4 THROUGH JUNE 30 OF EACH YEAR {{AND SHALL DETERMINE WHETHER TO APPROVE EACH
5 REQUEST NOT LATER THAN _____ DAYS AFTER RECEIVING THE REQUEST. IF THE
6 CAREER TECHNICAL EDUCATION BOARD DOES NOT APPROVE A REQUEST, THE CAREER
7 TECHNICAL EDUCATION BOARD SHALL PROVIDE TO THE MEMBER SCHOOL DISTRICT OR
8 CHARTER SCHOOL A WRITTEN DETERMINATION THAT INCLUDES THE REASONS FOR THE
9 CAREER TECHNICAL EDUCATION BOARD'S DETERMINATION. A PARTICIPATING SCHOOL
10 DISTRICT OR CHARTER SCHOOL MAY AMEND A REQUEST THAT IS NOT APPROVED
11 PURSUANT TO THIS SUBSECTION TO ADDRESS THE REASONS FOR THE DISAPPROVAL.
12 THE CAREER TECHNICAL EDUCATION BOARD SHALL CONSIDER AN AMENDED REQUEST
13 THAT IS SUBMITTED PURSUANT TO THIS SUBSECTION IN THE SAME MANNER AS AN
14 INITIAL REQUEST}}].]

15 N. Notwithstanding any other law, the average daily membership for
16 a pupil who is enrolled in a career technical education course and who
17 does not meet the criteria specified in subsection P, Q or R of this
18 section shall be 0.25 for each course, except the sum of the average daily
19 membership shall not exceed the limits prescribed by subsection D, P, Q or
20 R of this section, as applicable.

21 O. If a career and technical education course or program is
22 provided on a satellite campus, the sum of the average daily membership,
23 as provided in section 15-901, subsection A, paragraph 1, for that pupil
24 in the school district or charter school and career technical education
25 district shall not exceed 1.25. [The school district or charter school
26 and the career technical education district shall determine the
27 apportionment] Of the [1.25] average daily membership [, A MAXIMUM OF 1.0
28 SHALL BE ATTRIBUTED TO THE SCHOOL DISTRICT OR CHARTER SCHOOL AND A MAXIMUM
29 OF 0.25 SHALL BE ATTRIBUTED TO THE CAREER TECHNICAL EDUCATION DISTRICT.
30 UNLESS OTHERWISE APPORTIONED PURSUANT TO AN INTERGOVERNMENTAL AGREEMENT.]
31 [for that pupil between the school district or charter school and the
32 career technical education district, EXCEPT THAT AT LEAST 0.25 OF THE
33 AVERAGE DAILY MEMBERSHIP FOR THAT PUPIL MUST BE ALLOCATED TO THE CAREER
34 TECHNICAL EDUCATION DISTRICT UNLESS AN INTERGOVERNMENTAL AGREEMENT OR
35 WRITTEN CONTRACT BETWEEN] THE SCHOOL DISTRICT OR CHARTER SCHOOL AND THE
36 CAREER TECHNICAL EDUCATION DISTRICT [SHALL DETERMINE THE] [PURSUANT TO
37 SUBSECTION L OF THIS SECTION PRESCRIBES A DIFFERENT] APPORTIONMENT [OF THE
38 0.25 AVERAGE DAILY MEMBERSHIP PURSUANT TO A FULLY EXECUTED
39 INTERGOVERNMENTAL AGREEMENT. IN THE ABSENCE OF A FULLY EXECUTED
40 INTERGOVERNMENTAL AGREEMENT, THE SCHOOL DISTRICT OR CHARTER SCHOOL SHALL
41 NOT REPORT AN AVERAGE DAILY MEMBERSHIP FOR A SATELLITE CAMPUS COURSE OR
42 PROGRAM, AND AVERAGE DAILY MEMBERSHIP SHALL NOT BE GENERATED FOR THAT
43 COURSE OR PROGRAM]. A pupil who attends a course or program at a
44 satellite campus and who is not enrolled in the school district or charter
45 school where the satellite campus is located may generate the average
46 daily membership of up to 0.25 for one hundred fifty instructional hours
47 of enrollment for instruction received during any hour of the day, during
48 any day of the week and at any time between July 1 and June 30 of each
49 fiscal year pursuant to this subsection if the pupil is enrolled in a

1 school district that is a member district in the same career technical
2 education district.

3 P. The sum of the average daily membership of a pupil who is
4 enrolled in both the school district and career technical education course
5 or career technical education program provided by a community college or
6 university pursuant to subsection K of this section or at a centralized
7 campus shall not exceed 1.75. The average daily membership for a pupil
8 who is enrolled in a career technical education course or career technical
9 education program provided by a community college or university shall be
10 0.25 for the accumulation of every three community college or university
11 credits for which a student is enrolled in career technical education
12 courses. The member school district and the career technical education
13 district shall determine the apportionment of the average daily membership
14 and student enrollment for that pupil between the member school district
15 and the career technical education district, except that the amount
16 apportioned shall not exceed 1.0 for either entity. Notwithstanding any
17 other law, the average daily membership for a pupil who is in grade nine,
18 ten, eleven or twelve or in the school year immediately following
19 graduation and who is enrolled in a course that meets for at least one
20 hundred fifty minutes per class period at a centralized campus shall be
21 0.75. To qualify for funding pursuant to this subsection, a centralized
22 campus shall offer programs and courses to all eligible students in each
23 member district of the career technical education district. Students in
24 an approved career technical education program may generate an average
25 daily membership of up to 1.75 for instruction received during any hour of
26 the day, during any day of the week and at any time between July 1 and
27 June 30 of each fiscal year. Average daily membership shall not be
28 calculated on the one hundredth day of instruction for the purposes of
29 this section. Average daily membership shall be calculated by dividing
30 the instructional hours of enrollment by six hundred hours, except that:

31 1. At least one hundred fifty hours and less than three hundred
32 hours equals 0.25 average daily membership.

33 2. At least three hundred hours and less than four hundred fifty
34 hours equals 0.5 average daily membership.

35 3. At least four hundred fifty hours and less than six hundred
36 hours equals 0.75 average daily membership.

37 4. At least six hundred hours equals 1.0 average daily membership.

38 Q. The average daily membership for a pupil who is in grade nine,
39 ten, eleven or twelve or in the school year immediately following
40 graduation and who is enrolled in a course that meets for at least one
41 hundred fifty minutes per class period at a leased centralized campus
42 shall not exceed 0.75. Students in an approved career technical education
43 program provided by a leased centralized campus may generate an average
44 daily membership for instruction received during any hour of the day,
45 during any day of the week and at any time between July 1 and June 30 of
46 each fiscal year. Average daily membership shall be calculated by
47 dividing the instructional hours of enrollment by six hundred hours,
48 except that:

1 1. At least one hundred fifty hours and less than three hundred
2 hours equals 0.25 average daily membership.

3 2. At least three hundred hours and less than four hundred fifty
4 hours equals 0.5 average daily membership.

5 3. At least four hundred fifty hours and less than six hundred
6 hours equals 0.75 average daily membership.

7 4. At least six hundred hours equals 1.0 average daily membership.

8 R. The sum of the average daily membership, as provided in section
9 15-901, subsection A, paragraph 1, of a pupil who is enrolled in both the
10 school district and in career technical education courses provided at a
11 leased centralized campus shall not exceed 1.75 if all of the following
12 conditions are met:

13 1. The course qualifies as a career technical education course.

14 2. The course is offered to all eligible students in each member
15 district of the career technical education district and enrolls students
16 from multiple high schools.

17 3. The career technical education district program in which the
18 course is included addresses a specific industry need and has been
19 developed in cooperation with that industry, or the leased facility is a
20 state or federal asset that would otherwise be unused or underutilized.

21 4. The lease is established at fair market value if the lease is
22 executed for a facility located on the site of a member district and was
23 approved by the joint committee on capital review, except that a lease
24 that was executed or renewed before December 31, 2012 is not subject to
25 approval by the joint committee on capital review.

26 S. A student who is enrolled in an accommodation school may be
27 treated as a student of the school district in which the student
28 physically resides for the purposes of enrollment in a career technical
29 education district and shall be included in the calculation of average
30 daily membership for either the career technical education district or the
31 accommodation school, or both.

32 T. Notwithstanding any other law, the student count for a career
33 technical education district ~~shall be~~ IS equivalent to the career
34 technical education district's average daily membership. Students in an
35 approved career technical education program provided by a satellite
36 campus, centralized campus or leased centralized campus may generate an
37 average daily membership subject to the limits prescribed by subsections
38 D, N, O, P, Q and R of this section, as applicable, for instruction
39 received during any hour of the day, during any day of the week and at any
40 time between July 1 and June 30 of each fiscal year. Average daily
41 membership shall not be calculated on the one hundredth day of instruction
42 for the purposes of this section. The department may not restrict the
43 instructional time by limiting the particular days of the week or time of
44 the fiscal year for instruction to occur. THE CAREER TECHNICAL EDUCATION
45 [DISTRICT] BOARD IS RESPONSIBLE FOR ANY FUNDING RELATED TO THE CAREER
46 TECHNICAL EDUCATION DISTRICT'S AVERAGE DAILY MEMBERSHIP.

47 U. A school district or charter school may not prohibit or
48 discourage students who are enrolled in that school district or charter
49 school from attending courses offered by a career technical education

1 district, including requiring students to generate a full 1.0 average
2 daily membership or to enroll in more courses than are needed to graduate
3 before enrolling in and attending programs or courses offered by a career
4 technical education district.

5 V. The governing board of the career technical education district
6 may contract with any charter school that is located within the boundaries
7 of the career technical education district to allow that charter school to
8 offer career and technical education courses or programs as a satellite
9 campus.

10 W. Beginning in 2020 and every five years thereafter, the career
11 and technical education division of the department of education shall
12 review career technical education district programs and career technical
13 education courses to ensure compliance, quality and eligibility. Any
14 program or course deemed to not meet the requirements set forth by law
15 shall not be funded for the current school year and shall be removed from
16 the approved program and course list for the purposes of funding. The
17 career and technical education division may establish a staggered schedule
18 for reviewing each career technical education district.

19 X. Notwithstanding subsection D, paragraphs 4 and 9 and subsections
20 P, Q and R of this section, for a student in grade nine, funding shall be
21 provided pursuant to this section only if the student reaches the fortieth
22 day of grade eleven enrolled in an approved career technical education
23 program and meets the requirements prescribed in subsection Z of this
24 section. At that time funding shall be provided for that student for
25 grade nine and for any subsequent year in which the student is eligible
26 for funding pursuant to this section.

27 Y. On or before September 1 of each year, the office of economic
28 opportunity in collaboration with the department of education shall
29 compile an in-demand regional education list of the approved career
30 technical education programs that lead to a career path in high demand
31 with median-to-high-wage jobs in that region. The office of economic
32 opportunity shall incorporate industry feedback as part of developing the
33 in-demand regional educational list. The office of economic opportunity
34 shall submit the in-demand regional education list to the Arizona career
35 and technical education quality commission for review and approval.

36 Z. Notwithstanding subsection D, paragraphs 4 and 9 and subsections
37 P, Q and R of this section, for a student in grade nine or in the school
38 year immediately following graduation, funding shall be provided pursuant
39 to this section only if the student is enrolled in a program that was
40 included on the in-demand regional education list compiled pursuant to
41 subsection Y of this section for that student's region for the year in
42 which the student began the program.

43 AA. For the purposes of this section:

44 1. "Base year" means the complete school year in which voters of a
45 school district elected to join a career technical education district.

46 2. "Centralized campus" means a facility that is owned and operated
47 by a career technical education district to offer career technical
48 education district programs or career technical education courses.

1 3. "Lease" means a written agreement in which the right to occupy
2 or use real property is conveyed from one person or entity to another
3 person or entity for a specified period of time.

4 4. "Leased centralized campus" means a facility that is leased and
5 operated by a career technical education district to offer career
6 technical education district programs or career technical education
7 courses.

8 5. "Satellite campus" means a facility that is owned or operated by
9 a school district or charter school to offer career technical education
10 district programs or career technical education courses.

11 Enroll and engross to conform

12 Amend title to conform

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